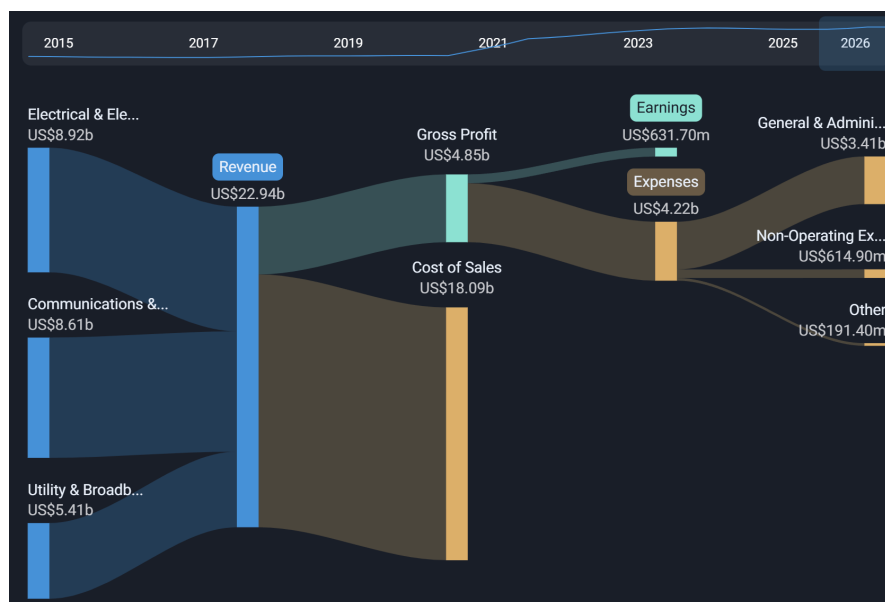


WESCO International, Inc. (WCC)

Figure 1: Revenue Stream Breakup of Wesco International



Business Overview

WESCO (NYSE: WCC) is an electrical distribution and supply company, headquartered in Pennsylvania. Founded in 1922, Wesco has grown to a \$13B+ cap and is one of the largest electrical distributors in America. Serving nearly 140,000 businesses, Wesco mainly operates in the U.S. but also operates in more than 50 countries. Wesco has three revenue-driving sectors: Electrical & Electronic Solutions (“EES”), Communications & Security Solutions (“CSS”) and Utility & Broadband Solutions (“UBS”).

The Electrical & Electronic solution (“EES”) consists of (39.17%). This sector centers around construction, original equipment parts (OEM), and industrial items. These items include electrical equipment, wire, and operating systems. The Communications & Security solution (“CSS”) (34.54%) segment focuses on data centers, network chains, and security solutions. Wesco’s network solution serves connectivity solutions to commercial buildings and data centers. Wesco’s last key performance driver is its Utility & Broadband solution (“UBS”) (26.28%). The UBS segment mainly provides products to government municipalities as well as global providers. These products include wire, cable and other electrical items.

Wesco International, Inc.
(NYSE: WCC): Industrial Distribution
Date: January 19th, 2026



Market Cap: \$13.70B
Price: \$281.63
Recommendation: **BUY**

Price History

Figure 2: Five Year Price Chart of Wesco International, Inc



Over five years, Wesco has grown over 220% from \$85.71 to \$281.63, outperforming the S&P 500. In 2021, trading around \$85.71 dollars, Wesco stock surged to \$123.50 dollars driven by a 2020 \$4.5B acquisition of Anixter International, a distributor of electronic/security solutions. This acquisition nearly doubled Wesco's size, increasing its share within the electronic construction industry. While the electronic distribution market is fragmented, Wesco commands a 7-8% market share while all of its Top10 competitors account for only 40%.

Through 2021-2023, Wesco prices continue to appreciate as U.S. infrastructure spending increases. Infrastructure improvements such as car electrification, grid modernization, and AI center creation lead to price increases. After the most recent quarterly report on October 30th, 2025, Wesco's stock price surged from \$220.77 to \$261.23. The quarterly report highlighted net sales of \$6.2 billion (+12.9% YOY), +18% in CSS, +12% in EES, and a return to growth in UBS. The market reacted positively to this news, projecting growth in FY 2026 as the U.S. rebounds from 2025 tariffs.

Investment Thesis

Wesco International's (NYSE: WCC) ability to capture consumer growth, push toward business optimization, and electrification demands in tandem with Wesco's recent acquisition of Ascent, create an optimistic investment opportunity that has been undervalued in the market.

Recommendation: **BUY**

FY 2026 Beg Price: \$281.63

Three Pillars of Support

Wesco's 500 Million push toward Generative AI/Ecommerce Enhances Sales and Distribution.

In early 2025, Wesco announced a \$500 million investment into a digital transformation of Wesco. Wesco had already invested \$275 million into its ecommerce platform, striving to enhance digital tools and implement AI-Insights. These changes improve convenience for the consumer and decrease order and fulfillment time. Wesco focuses on low-margin sales, so small incremental increases lead to large revenue flows and an increase in margin rates. These investments have been through the balance sheet & income statement which depresses earnings. As Wesco continues to implement these improvements and the effects of them begin to show, Wesco gains faster turnarounds and a larger customer base: increasing EBITDA margins and the eventual stock price. Investors must hold through Wesco's lower EBITDA margins and EPS.

These implementations have already increased efficiency in Wesco. In the 2025 Q3 10K, backlog grew 7% YOY showcasing faster order turnaround due to a combination of increased demand/operational efficiencies. However, I predict that the market sentiment has not fully priced these implementations in. In the next FY, Wesco plans to finish deploying the rest of the 225 million.

Growing Key Revenue Drivers and Metrics

Examining Wesco's recent 2025 Q3 report showcases growth in all three revenue streams. The CEO reported that Wesco showcased "18% organic growth in CSS, 12% organic growth in EES, and a return to growth in UBS". Wesco also reported that adjusted earnings per share increased from \$3.58 to \$3.92. This growth showcases strong business demand for Wesco's offerings as well as gradual revenue conversion into profit. These growth rates are attributed to Wesco's investments in modernization and supply chain efficiencies mentioned above. This growth rate also alleviates investor concerns of Wesco's low EBITDA margins (High capital projects: 500 mil investment) as the continued investment into its drivers has been capturing B2B sales. As individuals realize that the small EBITDA margin is temporary and that Wesco's investment strategy has poised itself for growth, Wesco stock will be driven by business capture and turnaround.

As well, Wesco consists of a large market share in electrical construction (12%), while its top 10 competitors only collectively account for 40%. Adding on to this, MorningStar rates Wesco as having a narrow moat, meaning that it has a competitive advantage that is resilient for 10yr. Comparing Wesco to its competitors, we can see that Wesco trades at a current lower P/E multiple, meaning that it is relatively cheap. As of Jan 18th, 2026, Wesco's P/E ratio stands at 21.7X compared to the industry average of 31.2X. More analysis will follow in comparables.

Electrification Demands Combined with Wesco's Recent Acquisition of Ascent Drive High Margin Sales:

AI expansion has become increasingly prevalent, specifically in the construction of AI centers. In the key revenue drivers present in Wesco, the Electrical & Electronic solution ("EES") consists of 39.17% of revenue, poised to take advantage of this boom. McKinsey in September 21, 2025 estimates that by 2030, 6.7 trillion dollars would need to be invested into these data centers to keep up with artificial intelligence demand. While data centers jobs were previously low margin for Wesco's, Wesco's recent acquisition of Ascent, a data center and facility management company, allows it to capture both low and high margin sales. The current market has not fully priced in Wesco's increased margins caused by M&A. Since Wesco consists of a large market share and has taken steps towards optimizing business to business sales, Wesco's EES offerings are well positioned to capitalize.

As of January 16th, 2026, Trump announced plans that require tech companies to fund power plants. A Wall Street Journal article mentions that “The emergency auction would have tech companies and other big customers that haven’t built their own power pick up the bill for 15-year contracts for supply from new power plants”. This policy shift further strengthens a long viewpoint of Wesco. Power plant spending by tech companies would necessitate resources in all the key revenue streams of Wesco: EES, CSS, and UBS. With Wesco’s narrow moat, it will capture U.S. energy demands.

Competitor Analysis

The industrial distribution market is fragmented consisting of \$175 billion. Wesco is the primary player in the electronic distribution market so we must use comparables in Maintenance, Repair, and Operations (MRO). Wesco in the MRO market consists of 4.4% excluding utility/communication revenue. Competitors include:

Grainger: 8.3%

MRO centered distributor with focus on consumer sales and small recurring orders. Grainger has little focus on large projects. Does pose a threat to Wesco, specifically in the “EES” stream. By leveraging Wesco’s larger based projects in AI Infrastructure, Wesco can focus on “UBS” and buildout.

Ferguson: 4.7%

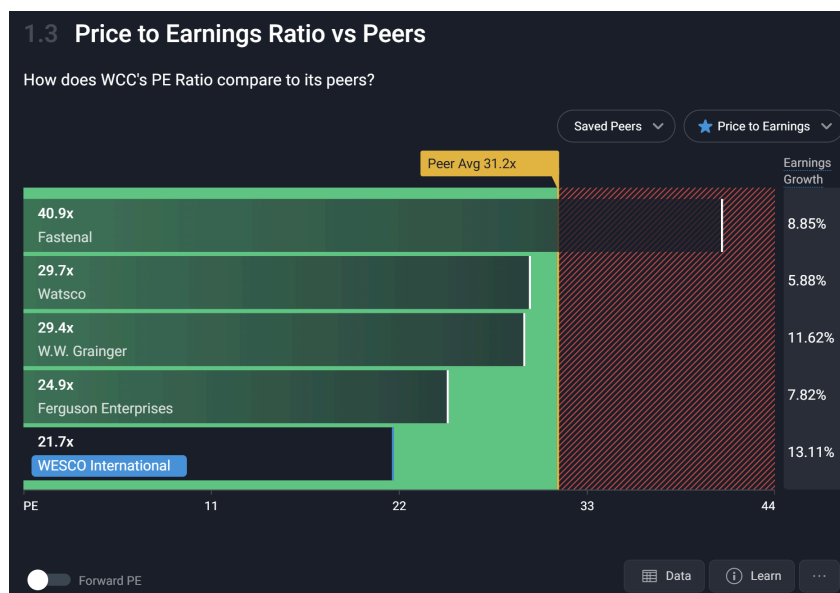
Ferguson focuses on the commercial and residential market, selling products such as plumbing and building supplies. Does not pose a major threat due to Wesco’s focus on electrical distribution and supply.

Fastenal 12.9%

Fastenal is a broad industrial supply distributor with a focus on consumer sales and small recurring orders. It focuses more on consumer sales than government and business contracts. It poses little threat as Wesco has revenue positioned in infrastructure.

Examining trailing and P/E ratios of the companies paints a picture of Wesco’s valuation. As of now, Wesco’s current trailing P/E is at 21.7X compared to the peer average of 31.2X. Wesco is discounted compared to its competitors, offering expansion if execution happens. Wesco is discounted because of lower EBITDA and operating margins which should increase as Wesco takes steps towards debt refinancing and operation improvement.

Figure 3: Comparing Trailing P/E Ratios between Wesco and its Competitors





Risks and Mitigants

1. Trade War: Tariffs become a large factor of 2026 and global supply shocks limit construction and infrastructure deals, slowing revenue growth.
 - a. Mitigant: Wesco has taken steps towards reducing imports from high tariff countries.
2. Cybersecurity Threats: Threats can reduce or even limit distribution and construction of electrical projects. 39.17% of revenue is driven by EES, so a small change would decrease revenue drastically.
 - a. Mitigant: Wesco has implemented a cyber security team and leveraged AI to identify and address risks.
3. Debt Levels: Due to acquisitions and reliance on working capital as part of their operations, Wesco has high debt levels which may slow down projects and limit mobility.
 - a. Mitigant: Wesco completed a \$1.75B debt refinancing on February 26, 2024, allowing for predictable interest rates.

Potential Catalysts

1. AI Center infrastructure deals in 2026 will require enormous amounts of products and construction from Wesco, increasing revenue.
2. Faster than expected debt refinancing can increase mobility of Wesco, improving net leverage ratios and allowing for other opportunities.
3. Government regulation of tech companies forces them to build out data centers, increasing margins in Wesco's EES.